Middlesbrough Football & Athletic Company (1986) Limited

Annual report and financial statements for the year ended 30 June 2024

Registered number: 1947851



Middlesbrough Football & Athletic Company (1986) Limited
Annual report and financial statements
for the year ended 30 June 2024

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Middlesbrough Football & Athletic Company (1986) Limited

Directors and advisers for the year ended 30 June 2024

Directors
S Gibson
N Bausor

Company secretary and registered office
Jeremy Bloom
Riverside Stadium
Middlesbrough
England
TS3 6RS

Solicitors
The Endeavour Partnership LLP
Tobias House
St Mark's Court
Teesdale Business Park
Teesside
TS17 6QW

Northridge Law LLP
The Bloomsbury Building
Holborn
London
WC1A 2SL

Womble Bond Dickinson (UK) LLP
The Spark, Draymans Way
Newcastle Helix
Newcastle Upon Tyne
NE4 5DE

Bankers
Barclays Bank Plc
Barclays House
5 St Ann's Street, Quayside
Newcastle Upon Tyne
NE1 3DX

Independent auditors
BDO LLP
Central Square
29 Wellington Street
Leeds
LS1 4DL

Middlesbrough Football & Athletic Company (1986) Limited

Strategic report for the year ended 30 June 2024

The directors present their Strategic report for the Company for the year ended 30 June 2024.

Business review
The results for the financial year show an EBITDA (earnings before interest, tax, depreciation and amortisation, calculated as the operating loss with depreciation and amortisation added back) of £92,000 (2023: £7,483,000), a loss before taxation of £12,427,000 (2023: £6,399,000) and turnover of £32,247,000 (2023: £28,594,000). Net assets have increased by £146,439,000 on prior year to £10,055,000 (2023: £136,384,000 net liabilities). During the financial year, £148,686,000 owed to group undertakings was converted into equity through the issue of shares and capital contributions.

The Club competed in the EFL Championship in the 2023/24 season. The Club missed out on a play-off position, finishing 8th in the league.

Principal risks and uncertainties
The management of the business and the execution of the Company's strategy are subject to a number of risks which principally occur around football, employees, and finance related matters.

Football
The biggest risk to the Club is failing to perform competitively in the league in which it competes. This is managed by developing and recruiting a first team squad suited to the relevant league and employing a management team and support team with the requisite knowledge and experience. Notwithstanding this the risk of injuries to key players can make this difficult to control.

Finance
The Company operates in a challenging business environment and market sector where revenue streams can fluctuate significantly depending upon team performance on the pitch and costs can be unrelated to income being generated. The Company continuously reviews the level of fixed costs incurred with a view to restricting unnecessary expense and matching costs to revenue streams to ensure the Club operates within financial regulations governed by The English Football League. The principal risk in this area continues to be the impact that rising costs has on operating costs and the discretionary spend available to supporters.

Key performance indicators
Given the nature of the business the Company is of the opinion that analysis using KPIs is not necessary for an understanding of the development, performance, or position of the business.

On behalf of the Board

S Gibson
Chairman

28 November 2024

Middlesbrough Football & Athletic Company (1986) Limited

Directors' report for the year ended 30 June 2024

The directors present their report and the audited financial statements of the Company for the year ended 30 June 2024. The Company's registered number is 1947851.

Principal activities
The principal activity of the Company is the operation of a professional football club.

Directors
The directors of the Company during the year are listed below:

S Gibson (Chairman)
N Bausor (Chief Executive Officer)

Dividends
The directors do not recommend payment of a dividend (2023: £nil).

Future outlook
The Club continues to compete in the EFL Championship in the 2024/25 season. It will continue to keep control of operating costs and make as much income as possible available to invest in the football team. The Club will continue to strive for progression and promotion to the Premier League.

Going concern
At 30 June 2024, the Company had net assets of £10,055,000 (2023: £136,384,000 net liabilities) and net current liabilities of £29,811,000 (2023: £164,262,000) including amounts due to group undertakings of £13,478,000 (2023: £148,925,000).

In assessing the going concern position of the Company, the directors have prepared cash flow forecasts to 31 December 2025, including consideration of a plausible downside scenario. They have further considered the financing arrangements in place at 30 June 2024 and changes to these financing arrangements since the balance sheet date (see note 22). The ability of the Company to meet its obligations as they fall due depends on the continuing support from The Gibson O'Neill Company Limited, the ultimate parent undertaking, which has agreed through a formal letter of support to continue to provide that support, if required, to the Company for the foreseeable future and for at least 12 months after these financial statements are approved by the directors. As such, the going concern status of the Company is linked to the going concern of the group.

The directors have carried out a review of the ultimate parent company's ability to continue as a going concern for a period of at least 12 months from the date of approval of these financial statements. Based on financial projections, the directors have concluded that adequate financial resources are available to ensure the ultimate parent company can meet its obligations as they fall due for the foreseeable future and have therefore adopted the going concern basis in preparing the financial statements.

Post balance sheet events
Post balance sheet events are shown in note 22 on page 33.

Financial risk management
The Company's operations expose it to a variety of financial risks that include the effects of changes in liquidity risk, foreign exchange risk and credit risk.

Liquidity risk
The Company manages its liquidity risk on a daily basis through cash monitoring and cash flow forecasting to ensure that it operates within the parameters of its financial plan. The Company continues to rely on support from The Gibson O'Neill Company Limited, the ultimate parent undertaking, to satisfy its working capital requirements. On occasions, the Company also uses long term receivable factoring to manage liquidity risk.

Directors' report for the year ended 30 June 2024 (continued)

Foreign exchange risk
The Company is exposed to foreign exchange risk as a result of acquisition and disposal of player registrations. Where possible the Club minimises the use of foreign currency.

Credit risk
The Company's credit risk is primarily attributable to its trade debtors. The amounts presented in the balance sheet are shown net of provisions for impairment where it is considered the Company will not be able to collect all amounts due. The Company considers it has no significant concentration of credit risk as its exposure is spread over a large number of customers. The largest sums will be due from other English football clubs as instalments for player transfer sales and these sums are protected by the Football Creditor rules.

Engagement with employees
Information on matters of concern to employees is communicated on a regular basis to seek to achieve a common awareness on the part of all employees of the financial and economic factors affecting the Company's performance. The Company is committed to employment policies, which follow best practice, based on equal opportunities for all employees, irrespective of sex, race, colour, disability, marital status, age or sexual orientation. It's recognised as an Intermediate Level Premier League Equality Standard and Plan4Sport. Staff are trained in unconscious bias, disability-awareness, LGBT-awareness, and Mental Health First Aid.

Disabled employees
It is the Company's policy that disabled people should receive full and fair consideration for all job vacancies for which they are suitable applicants. Employees who become disabled during their working life will be retained in employment wherever possible and will be given help with any necessary rehabilitation and retraining. The Club is prepared to modify procedures or equipment, wherever this is practicable, so that full use can be made of an individual's abilities.

Statement of directors' responsibilities in respect of the financial statements
The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulation.

Company law requires the directors to prepare financial statements for each financial year. Under that law, the directors have prepared the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law). Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing the financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- state whether applicable United Kingdom Accounting Standards, comprising FRS 102, have been followed, subject to any material departures disclosed and explained in the financial statements;
- make judgements and accounting estimates that are reasonable and prudent; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

Directors' report for the year ended 30 June 2024 (continued)

The directors are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

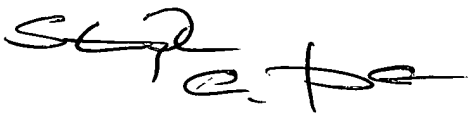
The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006.

Directors' confirmations
In the case of each director in office at the date the Directors' Report is approved:

- so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware; and

- they have taken all the steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

On behalf of the board



S Gibson
Chairman

28 November 2024

Independent auditors' report to the members of Middlesbrough Football & Athletic Company (1986) Limited

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 30 June 2024 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of Middlesbrough Football & Athletic Company (1986) Limited ("the Company") for the year ended 30 June 2024 which comprise the Statement of Comprehensive Income, the Balance sheet, the Statement of changes in equity, and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Annual report and financial statements, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Independent auditors' report to the members of Middlesbrough Football & Athletic Company (1986) Limited (continued)

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Statement of Directors Responsibilities, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise

Independent auditors' report to the members of Middlesbrough Football & Athletic Company (1986) Limited (continued)

from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Non-compliance with laws and regulations

Based on:

- our understanding of the Company and the industry in which it operates;
- discussion with management and those charged with governance; and
- obtaining and understanding of the Company's policies and procedures regarding compliance with laws and regulations

We considered the significant laws and regulations to be Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice), the Companies Act 2006 and UK tax legislation.

The Company is also subject to laws and regulations where the consequence of non-compliance could have a material effect on the amount or disclosures in the financial statements, for example through the imposition of fines or litigations. We identified such laws and regulations to be compliance with Football regulation, at a Football Association level and with the English Football League including Financial Fair Play regulations.

Our procedures in respect of the above included:

- review of minutes of meeting of those charged with governance for any instances of non-compliance with laws and regulations;
- review of correspondence with tax authorities for any instances of non-compliance with laws and regulations;
- review of financial statement disclosures and agreeing to supporting documentation;

Fraud

We assessed the susceptibility of the financial statements to material misstatement, including fraud. Our risk assessment procedures included:

- Enquiry with management and those charged with governance regarding any known or suspected instances of fraud;
- Obtaining an understanding of the Company's policies and procedures relating to:
    - Detecting and responding to the risks of fraud; and
    - Internal controls established to mitigate risks related to fraud.

Independent auditors' report to the members of Middlesbrough Football & Athletic Company (1986) Limited (continued)

- Review of minutes of meetings of those charged with governance for any known or suspected instances of fraud;
- Discussion amongst the engagement team as to how and where fraud might occur in the financial statements;
- Performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud.

Based on our risk assessment, we considered the areas most susceptible to fraud to be:

- revenue recognition through the inappropriate recognition of revenue that should be deferred at year end; and
- management override of controls through the manipulation of significant estimates or the posting of unsubstantiated journals.

Our procedures in respect of the above included:

- With regards to the risk of fraud in revenue recognition, we have performed testing of transactions recorded within deferred revenue and revenue accounts, and checked the appropriateness of amounts released from deferred revenue within the year to check whether revenue has been recorded in the correct period;
- Testing a sample of journal entries throughout the year, which met a defined risk criteria to detect possible irregularities and fraud, by agreeing to supporting documentation;
- Assessing significant estimates made by management for bias that might represent a risk of material misstatement due to fraud. In particular, we considered the potential impairment of player registration intangible assets, and the valuation of tangible fixed assets.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members who were all deemed to have appropriate competence and capabilities and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at:

https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Independent auditors' report to the members of Middlesbrough Football & Athletic Company (1986) Limited (continued)

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Neil Ebdon
DC0D99BB4F07404...

Neil Ebdon (Senior Statutory Auditor)

For and on behalf of BDO LLP, Statutory Auditor

Leeds, UK

29 November 2024

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

Middlesbrough Football & Athletic Company (1986) Limited

Statement of Comprehensive Income for the year ended 30 June 2024

	Note	30 June 2024	30 June 2023
		£'000	£'000
Turnover	1	**32,247**	28,594
Cost of sales		**(47,927)**	(45,011)
Gross loss		**(15,680)**	(16,417)
Administrative expenses before player amortisation and impairment		**(5,344)**	(5,006)
Player amortisation and impairment		**(9,220)**	(11,566)
Administrative expenses		**(14,564)**	(16,572)
Profit on sale of registrations		**17,112**	22,319
Other operating income	4	**1,210**	3,938
Operating loss		**(11,922)**	(6,732)
Interest payable and similar expenses	5	**(1,240)**	(161)
Interest receivable and similar income	6	**735**	494
Loss before taxation	7	**(12,427)**	(6,399)
Tax on loss	8	**2,838**	1,939
Loss for the financial year		**(9,589)**	(4,460)
Other Comprehensive Income for the Year			
Unrealised surplus on property revaluation	10	**9,789**	-
Tax on other comprehensive income	16	**(2,447)**	-
Total Comprehensive Loss for the Year		**(2,247)**	(4,460)

All of the Company's operations are continuing.

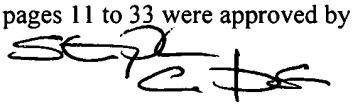
The notes on pages 19 to 33 form an integral part of these financial statements.

Middlesbrough Football & Athletic Company (1986) Limited

Balance sheet as at 30 June 2024

	Note	2024	2024	2023	2023
		£'000	£'000	£'000	£'000
Fixed assets					
Intangible assets	9		**17,462**		10,624
Tangible assets	10		**54,982**		44,761
			72,444		55,385
Current assets					
Stocks	11	**872**		400	
Debtors	12	**15,256**		14,487	
Cash at bank and in hand		**344**		378	
		16,472		15,265	
Creditors: amounts falling due within one year	13	**(46,283)**		(179,527)	
Net current liabilities			**(29,811)**		(164,262)
Total assets less current liabilities			**42,633**		(108,877)
Creditors: amounts falling due after more than one year	14		**(12,274)**		(10,045)
Provisions for liabilities	15		**(20,304)**		(17,462)
Non-Current Liabilities			**(32,578)**		(27,507)
Net assets/(liabilities)			**10,055**		(136,384)
Capital and reserves					
Called up share capital	17		**65,056**		64,056
Share premium	18		**105,686**		-
Capital contribution	18		**68,000**		26,000
Revaluation reserve	18		**30,146**		23,898
Profit and loss account	18		**(258,833)**		(250,338)
Total shareholder equity			**10,055**		(136,384)

The notes on pages 19 to 33 form an integral part of these financial statements. The financial statements on pages 11 to 33 were approved by the Board on 28 November 2024 and were signed on its behalf by:



S Gibson
Director
Middlesbrough Football Club & Athletic Company (1986) Limited. Registered number: 1947851

Middlesbrough Football & Athletic Company (1986) Limited

Statement of changes in equity for the year ended 30 June 2024

	Called up share capital	Share premium	Capital contribution	Revaluation reserve	Profit and loss account	Total equity
	£'000	£'000	£'000	£'000	£'000	£'000
At 1 July 2023	**64,056**	**-**	**26,000**	**23,898**	**(250,338)**	**(136,384)**
Comprehensive income/ (expense) for the year						
Loss for the financial year	-	-	-	-	(9,589)	(9,589)
Revaluation gains on property	-	-	-	9,789	-	**9,789**
Taxation on other comprehensive income	-	-	-	(2,447)	-	**(2,447)**
Other comprehensive income for the year	-	-	-	**7,342**	-	**7,342**
Total comprehensive income/(expense) for the year	-	-	-	**7,342**	**(9,589)**	**(2,247)**
Contributions by and distributions to owners						
Issue of shares	1,000	105,686	-	-	-	**106,686**
Capital contribution	-	-	42,000	-	-	**42,000**
Total contributions by and distributions to owners	**1,000**	**105,686**	**42,000**	**-**	**-**	**148,686**
Depreciation on property revaluations	-	-	-	(1,094)	1,094	-
Balance at 30 June 2024	**65,056**	**105,686**	**68,000**	**30,146**	**(258,833)**	**10,055**

Middlesbrough Football & Athletic Company (1986) Limited

Statement of changes in equity for the year ended 30 June 2023

	Called up share capital	Capital contribution	Revaluation reserve	Profit and loss account	Total equity
	£'000	£'000	£'000	£'000	£'000
At 1 July 2022	**64,056**	**26,000**	**25,056**	**(247,036)**	**(131,924)**
Comprehensive expense for the year					
Loss for the financial year	-	-	-	**(4,460)**	**(4,460)**
Loss for the financial year	-	-	-	**(4,460)**	**(4,460)**
Depreciation on property revaluations	-	-	(1,158)	1,158	-
Balance at 30 June 2023	**64,056**	**26,000**	**23,898**	**(250,338)**	**(136,384)**

Middlesbrough Football & Athletic Company (1986) Limited

Statement of accounting policies for the year ended 30 June 2024

General information
Middlesbrough Football & Athletic Company (1986) Limited is a company limited by share capital. Incorporated and domiciled in England, registration number 1947851.

Basis of accounting
The Financial Statements have been prepared on the going concern basis under the historical cost convention modified for the revaluation of certain fixed assets, and in accordance with Financial Reporting Standard 102 (FRS 102). The Company is deemed a qualifying entity under FRS 102. On this basis its ultimate parent company has approved its eligibility for disclosure exemptions, this report excludes a cash flow statement, key management compensation disclosure and related party disclosures.

The Company has taken advantage of the following exemptions:

- from preparing a statement of cash flows, on the basis that it is a qualifying entity and the consolidated statement of cash flows of the group includes the Company's cash flows;
- from the requirement to present a reconciliation of the number of shares outstanding at the beginning and end of the year as required by paragraph 4.12(a)(iv); and
- the requirements of Section 11 paragraphs 11.41 (b), 11.41 (c), 11.41 (e), 11.41 (f), 11.42, 11.44, 11.45, 11.47, 11.48 (a)(iii), 11.48(a)(iv), 11.48(b) and 11.48(c) and Section 12 paragraphs 12.26 (in relation to those cross referenced paragraphs from which a disclosure exemption is available), 12.27, 12.29 (a), 12.29(b) and 12.29A providing disclosures equivalent to those required by this FRS are included in the consolidated financial statements of the group in which the entity is consolidated.

Going concern
At 30 June 2024, the Company had net assets of £10,055,000 (2023: £136,384,000 net liabilities) and net current liabilities of £29,811,000 (2023: £164,262,000) including amounts due to group undertakings of £13,478,000 (2023: £148,925,000).

In assessing the going concern position of the Company, the directors have prepared cash flow forecasts to 31 December 2025, including consideration of a plausible downside scenario. They have further considered the financing arrangements in place at 30 June 2024 and changes to these financing arrangements since the balance sheet date (see note 22). The ability of the Company to meet its obligations as they fall due depends on the continuing support from The Gibson O'Neill Company Limited, the ultimate parent undertaking, which has agreed through a formal letter of support to continue to provide that support, if required, to the Company for the foreseeable future and for at least 12 months after these financial statements are approved by the directors. As such, the going concern status of the Company is linked to the going concern of the group.

The directors have carried out a review of the ultimate parent company's ability to continue as a going concern for a period of at least 12 months from the date of approval of these financial statements. Based on financial projections, the directors have concluded that adequate financial resources are available to ensure the ultimate parent company can meet its obligations as they fall due for the foreseeable future and have therefore adopted the going concern basis in preparing the financial statements.

A summary of accounting policies, which have been applied consistently, is set out below.

Tangible fixed assets and depreciation
Tangible fixed assets, other than freehold and long leasehold properties, are stated at cost, which is their purchase cost, together with any incidental costs of acquisition, or at valuation, less accumulated depreciation. Freehold and long leasehold properties are held at valuation and are revalued on a depreciated replacement cost

Statement of accounting policies for the year ended 30 June 2024 (continued)

basis. A formal third-party valuation is carried out every three years. In years between formal valuations, the directors make their own assessment of valuation.

Depreciation is calculated so as to write off the cost or valuation of tangible fixed assets less their estimated residual values on a straight-line basis, over the expected useful economic lives of the assets concerned. The principal annual rates used for this purpose are:

Freehold and long leasehold buildings	2% - 10%
Fixtures, fittings, plant and machinery	2% - 20%

Land is not depreciated.

Investment property
Investment properties are carried at fair value determined annually by the directors and derived from the current market rents and investment property yields for comparable real estate, adjusted if necessary for any difference in the nature, location or condition of the specific asset. No depreciation is provided. Changes in fair value are recognised in profit or loss.

Finance leases
Leasing agreements which transfer to the Company substantially all the benefits and risks of ownership of an asset are treated as if the asset had been purchased outright. The assets are included in fixed assets and the capital element of the leasing commitment is shown as obligations under finance leases. The lease rentals are treated as consisting of capital and interest elements. The capital element is applied to reduce the outstanding obligations, and the interest element is charged to the profit and loss account so as to give a constant periodic rate of charge on the remaining balance outstanding at each accounting year. Assets held under finance leases are depreciated over the shorter of the lease terms and the useful lives of equivalent owned assets.

Stocks
Stocks are stated at the lower of cost and net realisable value. Cost is determined on a first-in first-out basis. Net realisable value is the price at which stocks can be sold in the normal course of business after allowing for the costs of realisation. Provision is made where necessary for obsolete, slow moving and defective stocks.

Grants
Grants that relate to specific projects are treated as deferred income which is then credited to the profit and loss account over the related project's useful life. Other grants are credited to the profit and loss account when received.

Foreign currencies
Transactions in foreign currencies are translated at the rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the balance sheet date. All exchange differences are taken to the profit and loss account in the year in which they arise.

Turnover
Turnover represents income receivable from the Company's principal activities and is exclusive of value added tax and gains in relation to the sale of player registrations. Matchday and Season ticket receipts, including Cup competitions, are recognised over the year of the football season as games are played. The fixed element of broadcasting revenue is recognised over the duration of the football season whilst facility fees for additional live coverage and sale of merchandise are taken when earned. Sponsorship and similar commercial income are recognised over the duration of the respective contracts.

Statement of accounting policies for the year ended 30 June 2024 (continued)

Deferred taxation
The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a charge attributable to an item of income or expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the Company operates and generates taxable income.

Deferred balances are recognised in respect of all temporary timing differences that have originated but not reversed by the balance sheet date, except:

- the recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits;
- any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met; and
- where timing differences relate to interests in subsidiaries, associates, branches and joint ventures and the group can control their reversal and such reversal is not considered probable in the foreseeable future.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred income tax is determined based on the rates expected to apply at the date of reversal, using tax rates and laws that have been enacted or substantively enacted by the reporting date.

Provisions
Provisions are recognised when the Company has an obligation at the reporting date as a result of a past event, it is probable that the Company will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are recognised for onerous player contracts and deferred taxation liabilities.

Compensation and loan fees
The costs associated with the acquisition of players' registrations are capitalised as intangible fixed assets at the present value of the consideration payable for the acquisition using an effective interest rate, with interest expensed to the profit and loss. The present value costs are fully amortised over the length of the respective players' initial contract. Where a playing contract is extended, the unamortised balance at the date of the amendment, together with any new costs associated with the extension is amortised over the remaining revised contract life. Provision is made for any impairment and player registrations are written down for impairment when the carrying value exceeds the amount recoverable through use or sale of the relevant income generating unit.

Where a part of the consideration payable on acquiring a player's registration is contingent upon a future event, the amount of the consideration is recognised once the event occurs and is amortised from the date of the event. The total amount which is currently considered possible is disclosed in note 21. Profit or losses on the sale of registrations represent the present value of compensation or loan fees receivable, net of any transaction costs, less the amortised cost of the registrations.

Statement of accounting policies for the year ended 30 June 2024 (continued)

Pension costs
The Company is making contributions in respect of its share of the deficit of the defined benefit section of the Football League Pension and Life Assurance Scheme (the "Scheme"). As the Company is one of a number of participating employers in the Scheme it is not possible to identify the Company's share of the individual assets and liabilities within the Scheme.

Under FRS102, the Scheme is a funded multi-employer defined benefit scheme and the defined benefit obligation is to be recorded at its present value set by the scheme actuary discounted at appropriate rates. The change in present value not due to contributions paid is taken to the profit and loss account in the year.

The Company also provides access to stakeholder pension plans for employees. The employer's contributions are charged to the profit and loss account in the year in which the liability to pay arises. Further details are provided in note 20.

Critical estimates in applying accounting policies and key sources of estimation uncertainty
The preparation of the financial statement requires management to make judgements, estimates and assumptions that affect the amounts reported for assets and liabilities at the reporting date and the amounts reported for revenues and expenses during the year. However, the nature of estimation means that actual outcomes could differ from those estimates. The following critical estimates have been applied in preparing these financial statements:

- Players' net book value – the cost of obtaining players' registrations are amortised evenly over the period of the representative players' contracts with no residual value. The directors consider player impairment annually by assessing the market value less costs to sell for each individual player. The directors also take into consideration the individual performance of the player and overall contribution towards the first team squad.

- Onerous contracts – the directors review all contracts to determine whether the unavoidable cost of meeting the obligations under the contract exceed the economic benefits expected to be received under it. If they do, an onerous contract provision is recognised. This review primarily relates to player contracts where the directors take into consideration long term injuries and overall expected contribution towards the first team squad. An onerous contract provision is made for the remainder of the players' contract.

- Property valuation – freehold and long leasehold properties were revalued at 30 June 2024 by Montagu Evans, Chartered Surveyors, in accordance with the Appraisal and Valuation Manual of the Royal Institution of Chartered Surveyors in the United Kingdom. The Riverside Stadium and the training ground headquarters were valued on a depreciated replacement cost basis due to the specialist nature of the assets. The replacement cost for The Riverside Stadium was based on a seat rate per capacity. The directors consider the valuation of all properties annually with an external valuation carried out every three years.

Notes to the financial statements for the year ended 30 June 2024

1 Turnover

Turnover is generated entirely from the Company's principal activity in the United Kingdom and is analysed as follows:

	30 June 2024	30 June 2023
	£'000	£'000
Gate receipts	**8,747**	8,784
Cup competitions	**2,130**	332
Sponsorship & commercial	**9,415**	7,762
Broadcasting	**9,719**	9,504
Merchandising	**2,236**	2,212
Total turnover	**32,247**	28,594

2 Directors' remuneration

	30 June 2024	30 June 2023
	£'000	£'000
Aggregate emoluments	**262**	258
Company contributions to defined contribution pension scheme	**24**	24
	286	282

Emoluments of the highest paid director were £262,000 (2023: £258,000). Company pension contributions of £24,000 (2023: £24,000) were made to a pension scheme on behalf of this director.

There was one director in the Company's defined contribution pension scheme (2023: one).

Notes to the financial statements for the year ended 30 June 2024 (continued)

3 Employee information

The average monthly number of persons (including executive directors) employed by the Company during the year was:

By activity	30 June 2024 Number	30 June 2023 Number
Playing staff	**95**	77
Other staff	**159**	151
	254	228

	30 June 2024 £'000	30 June 2023 £'000
Staff costs (for the above persons):		
Wages and salaries	**27,752**	26,108
Social security costs	**3,442**	3,328
Other pension costs (note 20)	**200**	189
	31,394	29,625

Notes to the financial statements for the year ended 30 June 2024 (continued)

4 Other operating income

	30 June 2024	30 June 2023
	£'000	£'000
Premier League grant income	**1,210**	1,210
Legal settlement	**-**	2,728
	1,210	3,938

Premier League grant income relates to the Elite Player Performance Plan and is the Premier League's contribution towards the operational costs of running a Category 1 Youth Academy.

5 Interest payable and similar expenses

	30 June 2024	30 June 2023
	£'000	£'000
Other interest	**767**	161
Finance expense on unwinding of discount on transfer fees payable	**473**	-
Interest payable and similar expenses	**1,240**	161

6 Interest receivable and similar income

	30 June 2024	30 June 2023
	£'000	£'000
Finance income on unwinding of discount on transfer fees receivable	**735**	494
Interest receivable and similar income	**735**	494

Notes to the financial statements for the year ended 30 June 2024 (continued)

7 Loss before taxation

	30 June 2024	30 June 2023
	£'000	£'000
Loss before taxation is stated after charging/(crediting):		
Depreciation charge for the year:		
- tangible owned fixed assets	**2,786**	2,641
- tangible fixed assets held under finance leases	**8**	8
Player amortisation and impairment:		
- amortisation of intangible fixed assets (note 9)	**9,220**	7,984
- impairment of intangible fixed assets (note 9)	**-**	3,582
Auditors' remuneration for:		
- audit services	**62**	56
- non audit services	**12**	15
Other operating income (note 4)	**(1,210)**	**(3,938)**

Notes to the financial statements for the year ended 30 June 2024 (continued)

8 Tax on loss

(a) Analysis of tax credit in the year

	30 June 2024	30 June 2023
	£'000	£'000
Current tax		
UK corporation tax on profits for the period	**(3,600)**	(4,917)
Adjustments in respect of prior years	**60**	(1,240)
Total current tax credit	**(3,540)**	(6,157)
Deferred tax		
Origination and reversal of timing differences	**670**	3,455
Adjustments in respect of prior years	**32**	4
Effect of changes in tax rates	**-**	759
Total deferred tax charge (note 16)	**702**	4,218
Tax credit on loss	**(2,838)**	(1,939)

Notes to the financial statements for the year ended 30 June 2024 (continued)

8 Tax on loss (continued)

(b) Factors affecting tax credit for the year

The tax assessed for the year is higher (2023: higher) than the standard rate of corporation tax in the UK of 25.00% (2023: 20.50%). The differences are explained below:

	30 June 2024	30 June 2023
	£'000	£'000
Loss before taxation	**(12,427)**	(6,399)
Loss multiplied by standard rate of corporation tax in the UK of 25.00% (2023: 20.50%)	**(3,107)**	(1,312)
Effects of:		
Expenses not deductible for tax purposes	**176**	(125)
Income not taxable	**-**	(25)
Gains, rollover relief etc	**-**	-
Tax rate changes	**-**	759
Adjustments from previous periods	**93**	(1,236)
Total tax credit for the year	**(2,838)**	(1,939)

The corporation tax rate increased to 25% from 1 April 2023 and therefore a corporation tax rate of 25% has been used to measure deferred tax assets and liabilities where applicable.

Notes to the financial statements for the year ended 30 June 2024 (continued)

9 Intangible assets

	Transfer fees paid for players' contracts
	£'000
Cost	
At 1 July 2023	39,577
Additions	18,793
Disposals	(17,417)
At 30 June 2024	**40,953**
Accumulated amortisation and impairment	
At 1 July 2023	28,953
Charge for the year	9,220
Disposals	(14,682)
At 30 June 2024	**23,491**
Net book amount	
At 30 June 2024	**17,462**
At 30 June 2023	10,624

Notes to the financial statements for the year ended 30 June 2024 (continued)

10 Tangible assets

	Land and buildings	Fixtures, fittings, plant and machinery	Investment property	Total
	£'000	£'000	£'000	£'000
Cost or valuation				
At 1 July 2023	92,141	7,035	-	99,176
Additions	1,289	506	1,450	3,245
Revaluation	19,410	-	-	19,410
Disposals	-	(25)	-	(25)
At 30 June 2024	**112,840**	**7,516**	**1,450**	**121,806**
Accumulated depreciation				
At 1 July 2023	47,988	6,427	-	54,415
Charge for the year	2,599	195	-	2,794
Revaluation	9,621	-	-	9,621
Disposals	-	(6)	-	(6)
At 30 June 2024	**60,208**	**6,616**	**-**	**66,824**
Net book amount				
At 30 June 2024	**52,632**	**900**	**1,450**	**54,982**
At 30 June 2023	44,153	608	-	44,761

Included in the net book value of fixtures, fittings, plant and machinery is an amount of £200,000 (2023: £209,000) in respect of assets held under finance leases.

Land and buildings were revalued at 30 June 2024 by Montagu Evans, Chartered Surveyors, in accordance with the Appraisal and Valuation Manual of the Royal Institution of Chartered Surveyors in the United Kingdom. The Riverside Stadium and the training ground headquarters were valued on a depreciated replacement cost basis due to the specialist nature of the assets.

The net book value of land and buildings includes freehold property at £40,436,000 (2023: £33,760,000) and long leasehold property at £12,196,000 (2023: £10,393,000).

Notes to the financial statements for the year ended 30 June 2024 (continued)

10 Tangible assets (continued)

If land and buildings had not been revalued, they would have been included at the following amounts:

	2024	2023
	£'000	£'000
Cost	**40,508**	39,219
Accumulated depreciation and impairments	**(28,275)**	(27,135)
Net book amount	**12,233**	12,084

Investment property
The Company's investment property is carried at fair value determined annually by the directors. The surplus on revaluation of investment property credited to the profit and loss for the year is £nil (2023: £nil).

If investment property had been accounted for under historic cost accounting rules, the property would have been measured as follows:

	2024	2023
	£'000	£'000
Cost	**1,450**	-
Accumulated depreciation and impairments	**(10)**	-
Net book amount	**1,440**	-

11 Stocks

	2024	2023
	£'000	£'000
Finished goods and goods for resale	**872**	400

The difference between purchase price or production cost of stocks another replacement cost is not material.

Notes to the financial statements for the year ended 30 June 2024 (continued)

12 Debtors

	2024	2023
	£'000	£'000
Trade debtors	**1,094**	1,527
Compensation and loan fees receivable	**11,693**	7,251
Other debtors	**453**	470
Prepayments and accrued income	**1,369**	1,782
Amounts owed from group undertakings	**647**	3,457
	15,256	14,487

Impairment for trade debtors in the year is £3,000 (2023: £1,000).

The amounts owed from group undertakings are interest free and repayable on demand.

Amounts falling due after more than one year within compensation and loan fees receivable is £5,046,000 (2023: £4,428,000).

13 Creditors: amounts falling due within one year

	2024	2023
	£'000	£'000
Trade creditors	**3,423**	3,327
Amounts owed to group undertakings	**13,478**	148,925
Compensation and loan fees payable	**10,629**	6,311
Bank loan	**5,787**	2,484
Other loans	**-**	2,971
Taxation and social security	**2,722**	3,959
Other creditors	**1,689**	1,846
Deferred income	**8,035**	8,470
Accruals	**520**	1,234
	46,283	179,527

The amounts owed to group undertakings are interest free and repayable on demand however a signed letter of

13 Creditors: amounts falling due within one year (continued)

support has been obtained which states that the loans will not be recalled within 12 months of the signing of these financial statements. During the period, £148,686,000 of the amount owed to group undertakings was converted into equity through the issue of shares and capital contributions.

The Bank loan represents a loan facility secured against future player trading receivables, the terms of which are presented in note 14.

14 Creditors: amounts falling due after more than one year

	2024	2023
	£'000	£'000
Compensation and loan fees payable	**7,446**	5,212
Bank loan	**4,636**	4,428
Taxation and social security	**-**	243
Other creditors	**192**	162
	12,274	10,045

Bank loan represents two loan facilities secured against future player trading receivables. One repayable by 31 July 2025 bearing interest at SONIA plus 4.00% and the other repayable by 15 August 2025 bearing interest at 6.86%.

Notes to the financial statements for the year ended 30 June 2024 (continued)

15 Provisions for liabilities

	Note	2024 £'000	2023 £'000
Onerous contracts		**143**	450
Deferred taxation	16	**20,161**	17,012
		20,304	17,462

Movements on provisions excluding deferred taxation:

	Onerous contracts £'000
At 1 July 2023	**450**
Utilisation of provisions	**(450)**
Provisions in the year	**143**
At 30 June 2024	**143**

16 Deferred taxation

The amounts provided for deferred taxation are as follows:

	2024 £'000	2023 £'000
Accelerated capital allowances	**10,129**	7,717
Short term timing differences	**10,032**	9,295
	20,161	17,012
Movement		
At 1 July	**17,012**	12,794
Adjustment in respect of prior years (note 8)	**32**	4
Charged/(credited) to the profit and loss account (note 8)	**670**	4,214
Charged to other comprehensive income	**2,447**	-
At 30 June	**20,161**	17,012

Notes to the financial statements for the year ended 30 June 2024 (continued)

17 Called-up share capital

	2024	2023
	£'000	£'000
Authorised		
65,056,000 (2023: 64,056,000) ordinary shares of £1 each	**65,056**	64,056
Allotted, issued, called up and fully paid		
65,056,000 (2023: 64,056,000) ordinary shares of £1 each	**65,056**	64,056

On 29 November 2023, 1,000,000 ordinary shares were issued to convert amounts owed to group undertakings to equity for a total consideration of £106,686,000. A premium of £105,686,000 was credited to the share premium account. In addition, £42,000,000 of amounts owed to group undertakings were credited to capital contributions.

18 Reserves

Share premium

The share premium account includes the premium on issue of equity shares.

Capital contribution

Capital contributions by the parent company, Middlesbrough Football & Athletic Company Holdings Limited.

Revaluation reserve

The revaluation reserve is in relation to the increase in freehold and long leasehold property valuations which have been valued on a depreciated replacement cost basis.

Profit and loss account

The profit and loss account represents cumulative profits or losses, net of dividends paid and other adjustments.

Notes to the financial statements for the year ended 30 June 2024 (continued)

19 Related party transactions

The Company has taken advantage of the exemption in Section 33.1A of FRS 102 from the requirement to disclose transactions with its parents and fellow subsidiaries on the grounds that it is a wholly owned subsidiary of a group headed by The Gibson O'Neill Company Limited, whose financial statements are publicly available.

There are no further related party transactions which fall to be disclosed under the Financial Reporting Standards (FRS 102 paragraph 33.1).

20 Pensions

Middlesbrough Football Club ('the Club') participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Scheme's actuary has advised that the participating employer's share of the underlying assets and liabilities of the Scheme cannot be identified on a reasonable and consistent basis and, accordingly, it has been accounted for by the Company as if they were paid to a defined contribution scheme.

The last actuarial valuation was carried out at 1 September 2023. The results of the valuation demonstrated an overall increase in scheme deficit, to be shared across its members. On the basis of this valuation and contributions thereafter, the Club's notional share of the deficit was £269,000 as at 30 June 2024 (£232,000 as at 30 June 2023). The Club pays total contributions of £77,000 per annum increasing by 5.0% per annum, which will be sufficient to pay off the deficit by 2028.

The Company also provides access to stakeholder pension plans for employees. The employer's contributions are charged to the profit and loss account in the year in which the liability to pay arises.

The total pension cost for the Company for the year, across all schemes, was £200,000 (2023: £189,000).

21 Contingent liabilities

Under the terms of certain contracts for the purchase of players' registrations, future payments may be due to third parties, dependent upon the success of the team or individual players. At the balance sheet date, the maximum contingent liability considered possible was £8,800,000 (2023: £11,200,000).

Any additional fees which may become payable under these agreements will be accounted for in the year that the event occurs.

Notes to the financial statements for the year ended 30 June 2024 (continued)

22 Post balance sheet events

Player trading
Player transfer activity in respect of senior professionals after 30 June 2024 has resulted in the following:

- seven player acquisitions/registrations.
- two players brought into the Club on season long loans.
- one player transferred out of the Club and three players leaving the Club on expiry of their contracts.
- three players temporarily loaned out of the Club on season long loans.

In respect of transfer fees payable/receivable for senior professionals (including loan fees, agent fees and transfer fee levy), the activity after 30 June 2024 has resulted in net expenditure of £15.8m, some of which is paid/received immediately and some of which is deferred over a number of years.

Loan from ultimate controlling party
Since year end, S Gibson, Chairman of the Company and ultimate controlling party, has provided a £13.75m loan to the Company. The loan attracts no interest and is not due for repayment before 31 December 2025.

23 Immediate and ultimate parent undertaking

The immediate parent undertaking is Middlesbrough Football & Athletic Company Holdings Limited.

The ultimate parent undertaking is The Gibson O'Neill Company Limited, a private company registered in Middlesbrough, England.

The Gibson O'Neill Company Limited is the parent undertaking of the smallest and largest group of undertakings to consolidate these financial statements at 30 June 2024. The consolidated financial statements of The Gibson O'Neill Company Limited are available from the Company secretary at Brignell Road, Riverside Park Industrial Estate, Middlesbrough, TS2 1PS.

24 Ultimate controlling party

S Gibson, Chairman of the Company, is the ultimate controlling party by virtue of his 75% holding in the shares of The Gibson O'Neill Company Limited, the ultimate parent undertaking.